

9.1 Business Case

A business case is a justification document for a proposed project or investment, outlining the problem, solutions, costs, benefits, and risks.

It helps decision-makers determine if a project is worthy of investment, generally created during the initial project phase and updated throughout the project's life.

It is a critical document for investment decision-making.

A business case justifies a project by outlining the **problem, proposed solution, costs, and expected ROI**.

Business Case: Website CMS Upgrade

- **Executive Summary:** Replace the outdated, manual CMS with a modern, cloud-based platform (e.g., Contentful or WordPress VIP). This will fix slow publishing times, reduce IT dependency, and improve SEO, with an estimated ROI of 150% within 18 months.
- **Problem Statement:** The current CMS is deprecated and requires developer intervention for minor text updates, causing a 3-day backlog for marketing content and a \$50,000/year cost in manual editing and downtime.
- **Objectives:**
 - Decrease content deployment time from 3 days to <1 hour.
 - Increase SEO organic traffic by 25% within 6 months.
 - Enable non-technical staff to make updates.
- **Options Considered:**
 - **Status Quo:** Zero cost, high risk of security breach and decreased competitive edge.
 - **Upgrade Existing System:** Moderate cost, but keeps the same limitations.
 - **Modern SaaS CMS (Recommended):** High implementation cost but offers long-term efficiency and security.
- **Costs & Benefits:**
 - **Costs:** Estimated \$110k (setup, migration, licenses).
 - **Benefits:** \$40k/year in developer time savings, \$30k/year in increased lead generation.
- **Risks:** Data migration challenges, staff training overhead

Business Case: CRM (SaaS) Implementation

A business case for a CRM-as-a-Service (SaaS) (e.g., [Salesforce](#), [HubSpot](#), [Zoho](#)) focuses on replacing manual, fragmented processes with a centralized, subscription-based system to drive revenue growth and improve efficiency.

Here is a comprehensive example of a business case for a CRM SaaS implementation.

Executive Summary

Company: Mid-sized Manufacturing & Distribution Firm

Situation: High customer churn (15%) and slow sales cycles (90+ days) due to siloed customer data in spreadsheets and legacy systems.

Proposal: Implement Salesforce/HubSpot SaaS to unify sales, marketing, and service teams.

Expected ROI: 150% over three years, with a 20% increase in lead conversion and 10% reduction in support costs.

1. Problem Statement (The "Why")

- **Inefficient Processes:** Sales reps spend 30% of their time on admin, not selling.
- **No Customer Insight:** Customer service lacks visibility into sales history, leading to poor customer experience.
- **High Costs:** Inability to track leads efficiently leads to an estimated \$50k in lost revenue per quarter.

2. Proposed Solution (CRM SaaS)

Implement a cloud-based CRM with:

- **Sales Force Automation:** Automatic lead scoring and follow-ups.
- **Unified Customer View:** Shared dashboards across sales, marketing, and support teams.
- **Mobile Access:** Real-time data access for field sales teams.

3. Financial Analysis (Cost-Benefit)

- **Initial Implementation Cost:** \$25,000 (Set up, training, data migration)
- **Annual SaaS Fees:** \$30,000 (50 users x \$50/month)
- **Expected Benefits (Year 1):**
 - **Revenue Increase:** 15% increase via better upselling (est. \$100,00).
 - **Efficiency Gains:** 20% reduction in administrative time, equivalent to 1 full-time salary (\$60,000).

- **Projected ROI:** ~150% over 3 years.

4. Strategic Benefits (Non-Financial)

- **Improved CX:** Faster response times to customer inquiries.
- **Data Integrity:** Replacing spreadsheets with a single "source of truth".
- **Scalability:** SaaS model allows for easy seat addition as the company grows.

5. Risk Assessment

- **Low Adoption Rates:** Mitigated by intensive staff training and user-friendly interface selection.
- **Data Migration Issues:** Mitigated by hiring a specialist partner for the initial migration.

Key Components to Include in Your Own Case

- **Hard Costs:** Licensing, subscriptions, salaries.
- **Soft Savings:** Time saved, improved morale, better customer loyalty.
- **Specific Metrics:** Always aim for concrete numbers (e.g., "increase conversion by 20%") rather than vague goals.

Additional Info:

Hard Costs in Software Engineering

These are typically direct out-of-pocket expenses that are easy to quantify and budget.

- **Infrastructure:** Servers, cloud storage, networking hardware.
- **Licensing & Subscriptions:** SaaS subscriptions, API usage fees, software licenses.
- **Direct Personnel Costs:** Salaries for the core development team (developers, testers).
- **Hardware:** Laptops, workstations, and peripherals.

Soft Costs in Software Engineering

These are indirect expenses crucial for project completion, often overlooked, and harder to estimate.

- **Training & Onboarding:** Time and resources spent training employees to use new software.
- **Project Management & Administration:** Time spent planning, managing, and coordinating.
- **Downtime & Productivity Loss:** Lost revenue during system downtime, bugs, or slow adoption.
- **Consulting & Legal Fees:** Fees for external experts, compliance, or IP legal work.
- **Maintenance & Support:** Time spent debugging and fixing issues after launch.